

Explored literature

10 October 2026

This document records what was read and is not an L row of `MANUSCRIPT.tex`. Each record under `lit/` holds the quotations, their pages and the Lean that checks our reading. Locators are to the version read.

1 Bayraktar et al. [2026]

Read in full, `arXiv:2603.14557v2` (record `lit/bayraktar_2026/`).

The model of this bundle. The cap, the diffusion of the asset-to-deposit ratio and the switching point between the solvency and the liquidity branch are this paper's (eq. 4, p. 10, p. 15). L1 rests on it.

The boundary at one. Remark 3.1 (p. 11) states that at the zero-equity level the cap forces zero risky exposure, the diffusion vanishes, and the point is locally repelling when $r > r_L$ and attracting when $r < r_L$. The paper avoids the point by intervening at an exogenous threshold above one (p. 2). This bears on H2 and H2b of `TODD.md`, whose degeneracy and repelling condition are therefore in print. What the paper does not do is change coordinate, so the reading of the degeneracy as an artefact of the level coordinate is not in it.

No fixed issuance cost. Issuance costs are a dilution cost and a proportional cost. The paper states that a fixed issuance cost would generally break the one-dimensional reduction (p. 9) and that it could make earlier recapitalisation or inaction at the boundary optimal (p. 13). A fixed cost keeps the reduction only when it is charged per unit of liabilities, as in `PROOFS_v2.tex`. This bears on H3 and H3b.

Smooth fit. Smooth fit is proved at the dividend barrier, and issuance occurs only at the exogenous threshold (Theorem 3.1, p. 12). There is no smooth fit at an optimally chosen recapitalisation trigger. This bears on H4.

2 Barberis et al. [2001]

Read in full in NBER Working Paper 7220 (July 1999), not in the published article (record `lit/barberis_huang_santos_2001/`).

Kinked-linear loss aversion. The loss-aversion term is piecewise linear and kinked at the origin (p. 10), and the paper drops the curvature of prospect theory for simplicity (p. 11). A kinked-linear penalty is therefore not new as such. This bears on H5, whose contrast with S-shaped penalties must not suggest otherwise.

Changing risk aversion. Volatility above that of consumption growth comes from time variation in effective loss aversion through the benchmark state (Section 3). The level of loss aversion alone fails on both volatility and the premium (p. 15).

3 Engle and Siriwardane [2018]

Read in full in the published article (record `lit/engle_siriwardane_2018/`).

Precautionary capital. The equity a firm must raise today to meet a capital ratio in a crisis with a given confidence (Section 3.1). It is a regulatory quantity of a firm, not of a control problem.

The leverage multiplier. Equity volatility is approximately the leverage multiplier times asset volatility (eq. 5, Appendix A). The multiplier rises with leverage and is around 3 for the median firm (Section 2.3).

References

- Nicholas Barberis, Ming Huang, and Tano Santos. Prospect theory and asset prices. *The Quarterly Journal of Economics*, 116(1):1–53, 2001. doi: 10.1162/003355301556310.
- Erhan Bayraktar, Etienne Chevalier, Vathana Ly Vath, and Yuqiong Wang. Tractable bank capital structure: Optimal control under Basel III constraints, 2026. arXiv:2603.14557v2.
- Robert F. Engle and Emil N. Siriwardane. Structural GARCH: The volatility-leverage connection. *The Review of Financial Studies*, 31(2):449–492, 2018. doi: 10.1093/rfs/hhx099.